

MGT211-Introduction to Business
Solved MCQS for Mid terms papers
Solved by JUNAID MALIK and Team



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- 1) SRS
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- 3) Test phase + viva
- 4) Viva preparation
- 5) Final Deliverable

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1. Which of the following is not an example of non-profit making organization?

- a. NGO's
- b. Trusts
- c. Cooperative societies
- d. Partnership

2. All of the following can be advantages of the franchise business: Expert:

- a. Use of established Goodwill
- b. Pre-sold customer base
- c. Independency of business
- d. Clear and well define process

3. The form of business organization that generally has the largest sales volume is the:

- a. Franchise
- b. Corporation
- c. Partnership
- d. Sole proprietorship

4. Occurrence of widespread price increase throughout an economic system:

- a. Recession
- b. Unemployment
- c. Inflation
- d. None of the given options

5. The limit imposed by one country on importing commodities from another country is known as:

- a. Tariff
- b. Quota
- c. Subsidies
- d. All of the given options

6. Statutory meeting is held by which of the following companies?

- a. Ever public company limited branches

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- b. Every public company limited by guarantee
- c. Every private company converted into public company
- d. **All of the given options**

7. Which of the following is an example of genetic industry?

- a. **Sugar mill**
- b. Poultry farms
- c. Textile industries
- d. None of the given options

8. Two or more organizations combine together and form a new organization.

- a. Joint venture
- b. **Merge**
- c. Strategic alliance
- d. All of the given options

9. When international trade restricts due to safety, which one of the following barriers exists?

- a. Political system
- b. Tariff
- c. **Laws**
- d. Subsidies

10. Sole proprietorship always enjoys:

- a. Limited liability
- b. **100% of profit after tax**
- c. 100% of profit before tax
- d. 100% of profit after tax

11. In what type of business, there is easiest dissolution?

- a. **SOLE PROPRIETORSHIP**
- b. PARTNERSHIP
- c. JOINT STOCK COMPANY
- d. None of the given options

12. Which of the first stage in the formation of joint stock Company?

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- a. Commencement stage
- b. Incorporation stage
- c. Capital subscribe stage
- d. **Promotion stage**

13. Which of the following is a new trend in which two or more organizations combine together and form a new organization?

- a. Joint venture
- b. Strategic alliance
- c. **Merge**
- d. Acquisition

14. Business benefits the people by providing them

- a. **Large number of services**
- b. Less number of services
- c. Environmental pollution
- d. Substandard good

15. Which of the following is Not an attribute of sole proprietor ship business?

- a. Easy startup
- b. **Profit sharing**
- c. Limited capital requirements
- d. Unlimited liability

16. Certificate of Commencement is issued by the:

- a. Promoters
- b. Board of directors
- c. CEO of the company
- d. **Registrar of the companies**

17. Statutory report must be send to the shareholder before meeting that is certified by at least:

- a. 2 directors including CEO
- b. **3 directors including CEO**

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- c. 5 directors including CEO
- d. 7 directors including CEO

18. Profit distributed among shareholder is called _____

- a. Retained earning
- b. **Divided**
- c. Debenture
- d. All of the given options

19. _____ generally has unlimited liability.

- a. A shareholder in a public company
- b. A shareholder in a private company
- c. A director having share capital
- d. **The owner of sole proprietorship**

20. _____ describes the government payments given to certain industries to help offset some of

- a. Taxes
- b. **Subsides**
- c. Dumping
- d. Tariffs

21. A market survey is important because it tells you:

- a. How many & what types of people are shopping at a store
- b. What the customer will buy
- c. How much the customer will pay for the product
- d. **All of the given options**

22. A market survey is important because it tells you:

- a. How many & what types of people are shopping at a store
- b. What the customer will buy
- c. How much the customer will pay for the product
- d. **All of the given options**

23. On which of the following dates Companies Ordinance came into force?

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- a. January 1, 1981
- b. January 1, 1984
- c. **January 1, 1985**
- d. January 1, 1983

24. Two or more people or organization join hands and decides to do a business, formed a separate entity is called ____.

- a. Merge
- b. Strategic alliance
- c. **Joint venture**
- d. All of the given options

25. The term tariff, as used in international trade, refer to:

- a. The price of goods when they leave the producing country
- b. **A tax on imports**
- c. A limit on the quantity of a good that can be imported into a country
- d. A government payment to encourage exports

26. To think about benefitting the society and avoid harmful activities for the society is called ____

- a. Social values
- b. **Corporate social responsibility**
- c. Ethical behavior
- d. All of the given options

27. Which of the following is the total output of goods and services by an economic system in a given period of time?

- a. Gross domestic product
- b. Gross national product
- c. **Aggregate output**
- d. Per capita GDP

28. Which is the first stage in the formation of joint stock Company?

- a. Commencement stage
- b. Incorporation stage

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- c. Capital subscription stage
- d. **Promotion stage**

29. When a person provides his services to society on the basis of his specialized knowledge and experience is termed as:

- a. Employment
- b. **Profession**
- c. NGO'S
- d. All of the given options

30. Those countries where people are earning US \$765 are known as:

- a. Middle income countries
- b. High income countries
- c. **Low income countries**
- d. None of the given options

31. _____ are the government taxes on imports that raise the price of foreign goods and make them less competitive with domestic goods.

- a. **Tariffs**
- b. Embargo
- c. Income tax
- d. Quota

32. A major disadvantage of the operator form of organization is the _____

- a. **Double taxation of dividends**
- b. Inability of the form raise large sums of additional capital
- c. Limited liability of shareholder
- d. Limited life of the corporate form

35. The word "limited" at the end of the company names means:

- a. It has limited capital
- b. It has limited shareholder
- c. **Shareholder has limited liability**
- d. All of the given options

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36. Which of the following is the partner who does not take part in the management of the business but is known to the public?

- a. **Silent partner**
- b. Sleeping partner
- c. Active partner
- d. Nominal partner

37. Which mode of the business is formed when several business concern undertaking units are combined to carry on the business together for achieving the economic benefits?

- a. Cooperative societies
- b. **Combination**
- c. Franchising
- d. Merger

38. Which of the following condition must be fulfilled to contain the: "Certificate of Commencement"?

- a. Issuance of Prospectus
- b. Allotment of Shares
- c. Minimum Subscription
- d. **All of the given options**

39. Which of the following is an example of genetic industry?

- a. Sugar mill
- b. **Poultry farms**
- c. Textile industries
- d. None of the given options

40. The first time issuance of share hold in the:

- a. **Primary market**
- b. Secondary market
- c. Counter market
- d. Both in secondary and primary market

41. Those who invest in joint stock companies is called:

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a. Members

b. Shareholders

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c. Partners

d. Associates

42. _____ meeting is the first meeting after commencement of business.

a. Annual general meeting

b. Extra ordinary general meeting

c. Monthly meeting

d. None of the given options

43. First annual general meeting should be held with the _____ of incorporation of a company.

a. 14 months

b. 15 months

c. 16 months

d. 18 months

43. A document that contains rules and regulation of the company.

a. Prospectus

b. Memorandum of the company

c. Articles of association

d. All of the given options

44. _____ is one who has invested the maximum amount in the business?

a. Active Partner

b. Sleeping Partner

c. Senior partner

d. None of the given options

45. A sole proprietorship business may have:

a. One owner & one worker

b. Single owner and many workers

c. Direct dealing with customers

d. All of the given options

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46. Who signs the documents on behalf of the joint stock company?

- a. One of the directors
- b. Chief executive office
- c. **Common seal is used for its signature**
- d. General manager

47. The notice calling the annual general meeting must, be given to all its members at least ____ days before the date of the meeting.

- a. **21 days**
- b. 30 days
- c. 45 days
- d. 51 days

48. Statutory report must be send to the shareholder before meeting that is certified by at least:

- a. 2 directs including CEO
- b. **3 directs including CEO**
- c. 5 directs including CEO
- d. 7 directs including CEO

49. The law relating to joint stock Company has been laid in companies Ordinance 1984. Which came into force on _____ in Pakistan

- a. December 1984
- b. **January 1985**
- c. August 1985
- d. None of the given options

50. First meeting of the members of public limited is known as:

- a. Introductory meeting
- b. **Statutory meeting**
- c. Initial meeting
- d. Special meeting

51. Which of the following enjoys limited liability?

- a. A general partnership

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- b. **A corporation**
- c. A sole proprietorship
- d. None of the given options

52. The word limited at the end of the company name means:

- a. It has limited capital
- b. It has limited shareholder
- c. **Shareholder has limited liability**
- d. All of the given options

53. The law relating to joint stock company has been laid in companies Ordinance, 1984, which came into force on _____ in Pakistan.

- a. December 1984
- b. **January 1985**
- c. August 1985
- d. None of the given options

54. Which of the following can be the weakness of an organization?

- a. **High employees' turnover**
- b. Presence of few competitors
- c. Potential change in the consumer taste
- d. Presence of non-price competitors

55. The law relating to joint stock companies has been laid in companies Ordinance?

- a. **1984**
- b. 1980
- c. 1932
- d. None of the given options

56. All of the following fall in the category of "business" except:

- a. Exchange of rich with wheat for profit
- b. Production of heavy machinery for sale purpose
- c. **Construction of houses for personal use**
- d. House financing on markup by bank

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57. Those who invest in joint stock companies are called:

- a. Members
- b. Shareholder
- c. Partners
- d. Associates

58. A major disadvantage of the corporate form of organization is the

- a. Double taxation of dividends
- b. Inability of the firm to raise large sums of additional capital
- c. Limited liability of shareholder
- d. Limited life of the corporate form

59. Which of the following is Not the characteristics of a business?

- a. Monetary benefits
- b. Voluntarily contribution
- c. Risk and uncertainty
- d. Transfer of good or services

60. Which of the following is the growth rate of GDP, adjusted for inflation and changes in the value of country's currency?

- a. GDP per capita rate
- b. Real growth rate
- c. Real GDP
- d. Purchasing power parity

61. Which of the following is NOT a benefit of partnership?

- a. Distribution of work
- b. Unlimited liability
- c. Tax facility
- d. Minority protection

62. Election of directors and appointments of auditors are the objectives of

- a. Annual general meeting
- b. Statutory meeting

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- c. Extra ordinary general meeting
- d. None of the given options

63. A document that contains rules and regulation of the company

- a. Prospectus
- b. Memorandum of the company
- c. Articles of association
- d. All of the given options

64. A period of business cycle that is characterized by high labour turnover may be the period of:

- a. Boom
- b. Recession
- c. Expansion
- d. Evolution

65. Statutory meeting is held by which of the following companies?

- a. Every public company limited by shares
- b. Every public company limited by guarantee
- c. Every private company converted into public company
- d. All of the given options

66. Which of the following are NOT invited in the annual general meeting of a company?

- a. The CEO
- b. Directors
- c. Shareholders
- d. Debenture holders

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67. All of the following statements are true regarding a partnership except _____

- a. Partners pay personal income tax on their share of the partnership's income
- b. A new partnership agreement is required whenever a new partner enters or leaves the

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partnership

- c. Mutual agency creates personal obligations for each partner
- d. Each partner's liability is limited to the amount he or she contributed to the partnership

67. First meeting of the members of public limited company is known as:

- a. Introductory meeting
- b. Statutory meeting
- c. Initial meeting
- d. Special meeting

67. Electronic of directors and appointment of auditors is the objectives of

- a. Annual general meeting
- b. Statutory meeting
- c. Extra ordinary general meeting
- d. None of the given options

68. The two component of business includes:

- a. Business and commerce
- b. Commerce and trade
- c. Business and trade
- d. Import and export

69. A document that contains the term and conditions of the business

- a. Partnership deed
- b. Limited partnership
- c. Particular partnership
- d. None of the given options

70. _____ is a kind of loan which is acquired from the market.

- a. Dividend
- b. Debenture
- c. Paid up capital
- d. None of the given options

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71. _____ can expand their business by selling shares in the stock market.

- a. Private company
- b. Partners of the firm
- c. Joint stock company
- d. An association of business

72. A period of business cycle that is characterized by high employment rate may be the period of:

- a. Recession
- b. Expansion
- c. Contraction
- d. All of the given options

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73. The policy regarding government revenues and expenditure is known as:

- a. Fiscal policy
- b. Monetary policy
- c. Stabilized policy
- d. All of the given options

74. A document that contains rules regulation of the company.

- a. Prospectus
- b. Memorandum of the company
- c. Articles of association
- d. All of the given options

75. The formation of _____ does not require any legal formality like registration.

- a. Sole proprietorship
- b. Company
- c. Cooperative society
- d. Partnership

76. Which of the following are Not invited in the annual general meeting of a company?

- a. The CEO
- b. Directors

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- c. Shareholders
- d. **Debenture holders**

77. Which of the following is required the certified of Commencement?

- a. A partnership
- b. A private company
- c. A co-operative society
- d. **A public limited company**

78. ----- is the lifeblood of every business.

- a. goods
- b. wealth
- c. **capital**
- d. buying

79. ----- is connected with the production and preparation of goods and services.

- a. business
- b. system
- c. social process
- d. **industry**

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80. ----- is the second component of business.

- 1. **Commerce**
- 2. Industry
- 3. primary industry
- 4. **secondary industry**

81. Commerce can be-----

- 1. Trade
- 2. aids to trade
- 3. **trade and aids to trade**
- 4. **home trade**

82. A good business person must have the knowledge about ----- skills.

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1. Personal
2. **technical** 0304-1659294
3. leadership
4. decision making

83. ----- separates the organization from its environment.

1. external environment
2. multiple environment
3. economic environment
4. **organizational boundaries**

84. Measure of ----- by which we compare that how much a system can produce with the resources needed to produce it

- a. purchasing
- b. selling
- c. GDP per capital
- d. Capital

85. Minimum members of public limited company should be

- a. 5
- b. **7**
- c. 9
- d. 10

86. Cooperative society is set up to protect economically the ----- sections of the society.

- a. Middle
- b. **Poor**
- c. Stable
- d. Wealthy

87. Due to the absence of ----- the performance of cooperative society is very poor.

- a. Discipline
- b. Experience

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c. Capital

d. Profit incentive

88. ----- are the objectives that a business hopes and plan to achieve

a. Plans

b. Goals

c. Mission

d. SWOT analysis

89. In Private limited company minimum members can be 2 and maximum members should not exceed-----

a. 50

b. 20

c. 10

d. 40

90. A public company must have ----- basic legal document.

a. 2

b. 3

c. 5

d. 6

91. Company must hold an annual general meeting of its shareholders ----- in a year.

a. once

b. twice

c. thrice

d. four times

92. ----- skills are necessary to compete in a global environment.

a. Technical skills

b. Global management skills

c. Time management skills

d. Human relation skills

93. Skills used in understanding and getting along with people is -----

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- a. Decision making skills
- b. Technical skills
- c. Human relation skills
- d. Conceptual skills

94. ----- are responsible for the development. pricing, promotion and distribution of goods and services

- a. Operation managers
- b. Marketing managers
- c. Information managers
- d. Financial managers

95. Cooperative society is set up to protect economically the ----- sections of the society.

- a. Middle
- b. Poor
- c. Stable
- d. Wealthy

96. In sole proprietorship business entire finance is provided by:

- a. The borrowers
- b. The creditors
- c. Entrepreneur
- d. All of the given options

97. Which of the following is not an example of non-profit making organization?

- a. Trusts
- b. Cooperative societies
- c. NGO's
- d. Partnership

98. Formation of _____ is very lengthy, very complicated and very technical job?

- a. Sole proprietorship

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b. None of the given options

c. Joint stock company

d. Partnership

99. Statutory meeting must be held within _____ of the commencement of the business

a. 1 year

b. 3 months

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c. 3 months to 6 months

d. 6 months

100. Established of financial institute such as commercial banks is important because:

a. They regulate the money supply

b. They are specialized in monetary policy

c. They provide support for the business

d. All of the given options

101. A document that contains rules and regulations of the company.

a. Articles of association

b. Memorandum of the company

c. Prospectus

d. All of the given options

102. Which of the following is required the certificate of Commencement?

a. A partnership firm

b. A private limited company

c. A public limited company

d. A co-operative society

103. Which of the following document is Not required by the private limited company?

a. Memorandum of company

b. Articles of company

c. Prospectus of company

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d. Certificate of incorporation

104. A cooperative society is formed by the people ____ for self-help through mutual help.

- a. Of limited means
- b. Having extra resources
- c. Running business only
- d. Having government jobs only

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